

The most important issue we've ever written

I (Stephen) have been lucky enough to meet many *Disruption Investor* members over the past few years. From Jim in Nashville to Joel in San Francisco to my dear friend Tariq in Abu Dhabi, I always enjoy seeing you in the flesh.

Each time I meet members, I'm reminded of just how important our job is. You trust Chris, me, and our team to inform your investment decisions. To protect and grow your nest egg.

It's a *serious* job. And this issue of *Disruption Investor* is the most serious I've ever written.

Our deep research suggests we're at a major inflection point in the market... and that the opportunities are shifting.

As we explained last month, US big tech stocks are in trouble. Most investors who cling to the names that worked for the past 15+ years will be left behind.

But not us...

We're already hunting for the winners in this new landscape and staying ahead of the curve with our disciplined, selective strategy. So far, our "script" has been on point...

As you know, we saw this volatility coming and have been cautious on the market since January. Our puts (still up around 115% on our remaining position) helped us profit from this year's selloff. And we've been buying into unloved megatrends like cybersecurity and solar, which have paid off.

In this month's issue

"Situation's changed, Jules"

Why big tech is challenged until further notice

The great rotation

The losers...

The winners...

AI won't save big tech

Portfolio discussion

Take profits on ANET and FN

Key prices

S&P 500	5,543.77
1-Month (Loss) -0.66%	
Nasdaq	17,396.54
1-Month (Gain) +0.43%	
Russell 2000	1,961.90
1-Month (Loss) -3.03%	
Dollar Index	99.15
1-Month (Loss) -4.70%	
US 10-Year Yield	4.185%



A RiskHedge Publication

In this month's issue, we'll update you on our market script. We'll share what to expect through the midterms and how to prepare, because it's crucial to have a plan even if we know it won't be exactly right.

While the stock market "leaders" are shifting, our strategy remains the same: Buy great businesses profiting from disruptive megatrends. Our unique strategy is "all-weather," meaning it's designed to work in all markets.

We've entered a new regime that's opening up exciting opportunities. Grab a coffee and buckle up. We're about to get into it all...

"Situation's changed, Jules"...

Since 2009, US stocks have dominated the rest of the world. The S&P 500 outperformed international stocks for 15 consecutive years. That's by far the longest streak ever. And it was deserved!

Apple (AAPL)... **Amazon (AMZN)...** **Alphabet (GOOGL)...** **Microsoft (MSFT)...** and **Meta Platforms (META)** grew earnings faster than their international peers. They led virtually every important innovation of the past decade: smartphones, digital ads, social media, cloud computing, and artificial intelligence (AI).

Look at this list of the world's 10 most valuable companies. Nine of the 10 are US companies. Eight are tech companies founded on America's "left coast."

1	 Apple AAPL
2	 Microsoft MSFT
3	 NVIDIA NVDA
4	 Alphabet (Google) GOOG
5	 Amazon AMZN
6	 Saudi Aramco 2222.SR
7	 Meta Platforms (Facebook) META
8	 Berkshire Hathaway BRK-B
9	 Broadcom AVGO
10	 Tesla TSLA

Source: companiesmarketcap.com

(Pop quiz: Only one of these companies was founded in the city of San Francisco. Can you guess which one?)

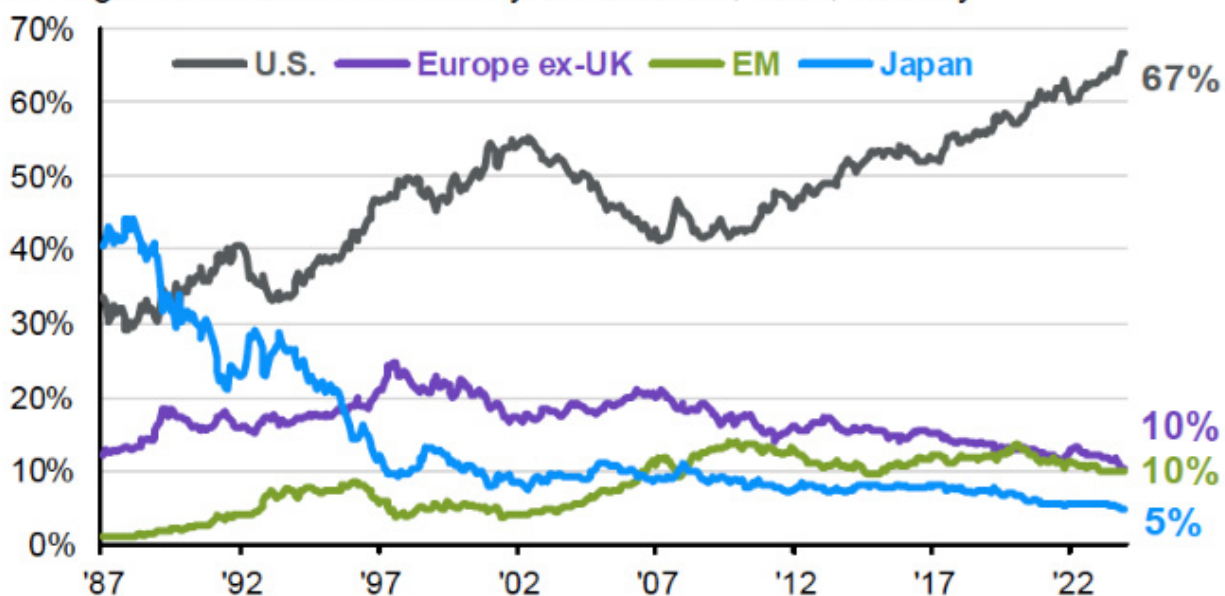
Saudi Aramco. The Saudi oil giant was a division of the Standard Oil Company of California, aka **Chevron Corp. (CVX)**. It was headquartered in San Fran until 1948.)

This outperformance turned US stocks into a money vortex. Since 2019, over \$10 trillion in overseas capital has flowed into great American companies. Foreign investors now own double the percentage of US stocks as they did a decade ago.

At the end of 2024, US stocks made up a historic 67% of the global equity market, their highest weighting in history—13X bigger than Japan at 5%:

Share of global market capitalization

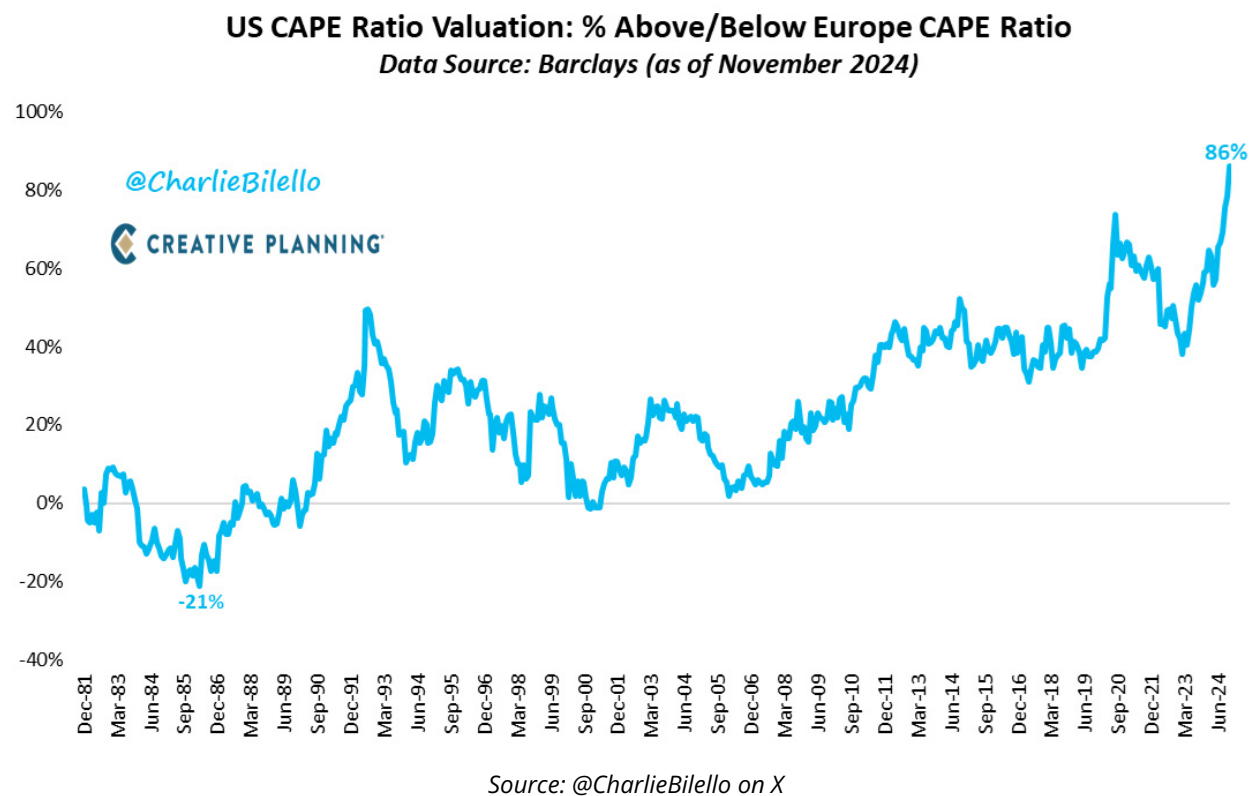
% weight in the MSCI All Country World Index, USD, monthly



Source: M&B Faber Research

Every index—from the S&P 500 to MSCI's "global" All Country World Index—turned into a concentrated bet on big tech.

Record inflows allowed US stocks to command a valuation premium that stretched to historic levels:

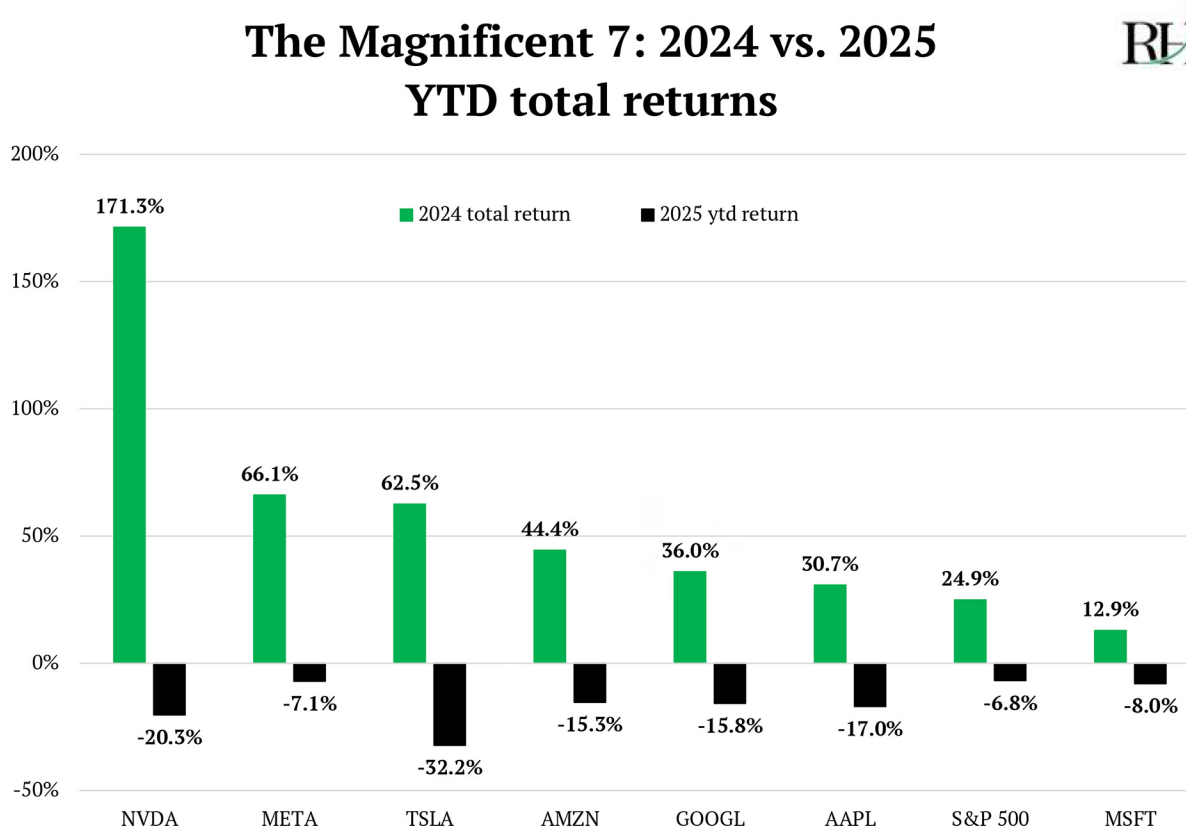


The great philosopher Mark Twain once said, "It ain't what you don't know that gets you into trouble. It's what you know for sure that just ain't so."

Coming into 2025, everyone knew you *had* to own big tech. Uh oh.

The trade that worked gloriously for the past 15 years is now turning into the biggest loser. All of the “Magnificent 7” names are down so far this year:

(**Note:** At the time of publication, Microsoft is up 1% YTD after releasing earnings.)



© RiskHedge

Source: Creative Planning

Big tech has entered a bear market.

To quote my favorite *Far Side* cartoon: “Situation’s changed, Jules.”

Welcome to the “great rotation.” We’re ready to take advantage by sticking to our bread and butter: Buying stellar businesses riding unstoppable megatrends.

But what really set this shift into motion?

Why big tech is challenged until further notice

Big tech’s bull run had to end eventually. Think about it like a rubber band stretched too far in one direction. It couldn’t go on forever.

This was always going to happen, but here are two events that finally snapped the rubber band...

Catalyst #1: DeepSeek

The valuation premium that US stocks enjoyed was justified because US companies dominated innovation. For a moment in time, it looked like big tech would also control the most important technology of the next decade: AI.

Then DeepSeek happened.

In late January, Chinese AI startup DeepSeek shocked the world when it released a ChatGPT alternative rivaling Silicon Valley's best efforts, which was 90% cheaper to run.

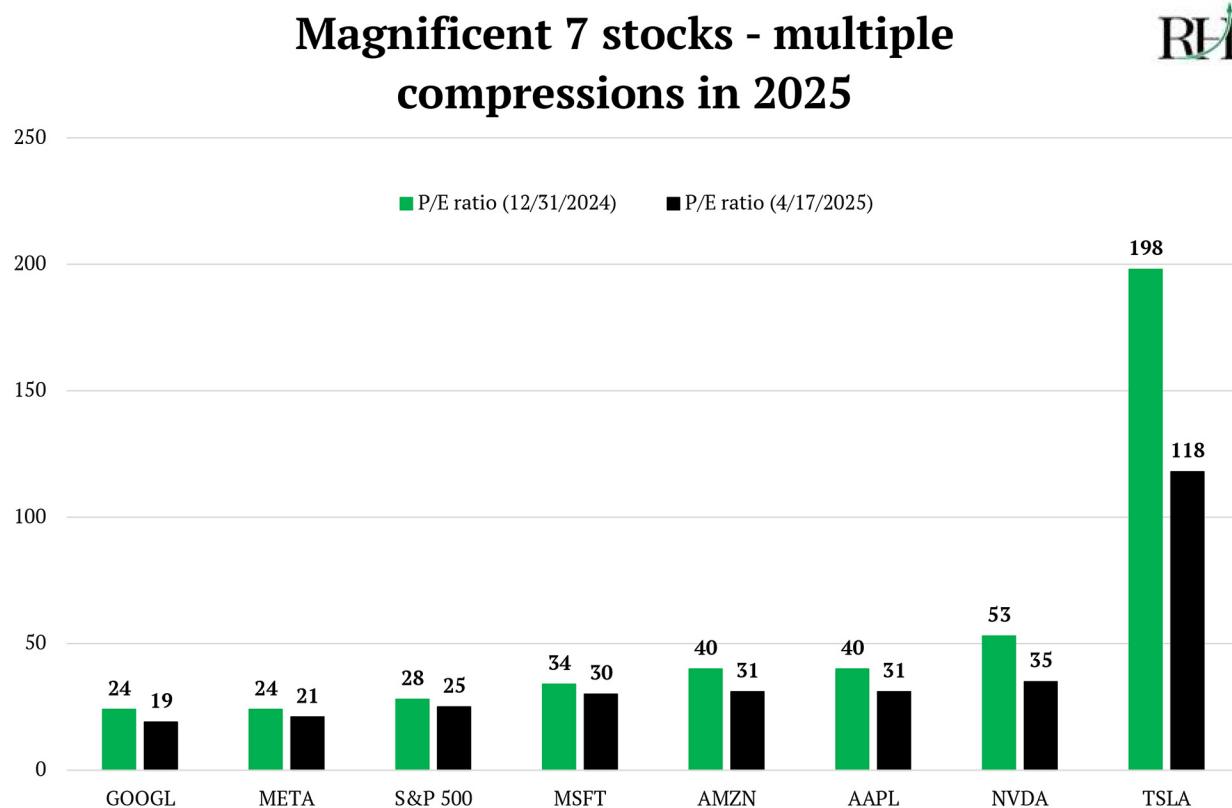
More important, it showed the world that the US no longer has a monopoly on innovation.

China is now neck and neck with (or leading) America in many crucial emerging technologies:

- **BYD (BYDDY)** sells more electric vehicles than any other company, including **Tesla (TSLA)**.
- Contemporary Amperex Technology Co. Ltd. (CATL) owns 40% of the global battery market.
- While America's largest drone maker has produced 50,000 drones total, China's DJI likely manufactures that many weekly.
- In 2023, China installed more industrial robots than the rest of the world combined.
- China is now the world's largest producer of solar power.
- China is also a rising force in the lucrative biotech market, producing a superior version of **Merck's (MRK)** cancer drug, Keytruda.

This shift is causing the valuation premium of US tech stocks to evaporate. Apple, Amazon, Alphabet, and Microsoft are trading below their pre-ChatGPT price-to-earnings (P/E) ratios.

Look at the valuation drop in big tech stocks year-to-date:



© RiskHedge

Source: Creative Planning

I expect valuations to continue falling in the coming years as big tech P/E ratios “catch down” to rest of the world.

[We already own China](#) through the **iShares China Large-Cap ETF (FXI)** and will continue to look for international opportunities in this new landscape.

Catalyst #2: Politics

WARNING: IF YOU’RE TRIGGERED BY POLITICS AND LET IT CLOUD YOUR INVESTING DECISIONS, SKIP AHEAD.

I don’t care about politics. I do everything I can to drown it out. Politics is simply entertainment. And with five mouths to feed and a business to run, I don’t have time to watch the circus.

But like it or not, it’s one of the reasons for a shift away from US stocks.

I often joke I'm de facto American. But as someone who (currently) lives in Europe and chats with many European investors, the Trump-Zelensky car crash meeting at the end of February was a watershed moment.

Trump and JD Vance made it crystal clear: *"Guys, you have a mess. And we don't want to deal with your mess."*

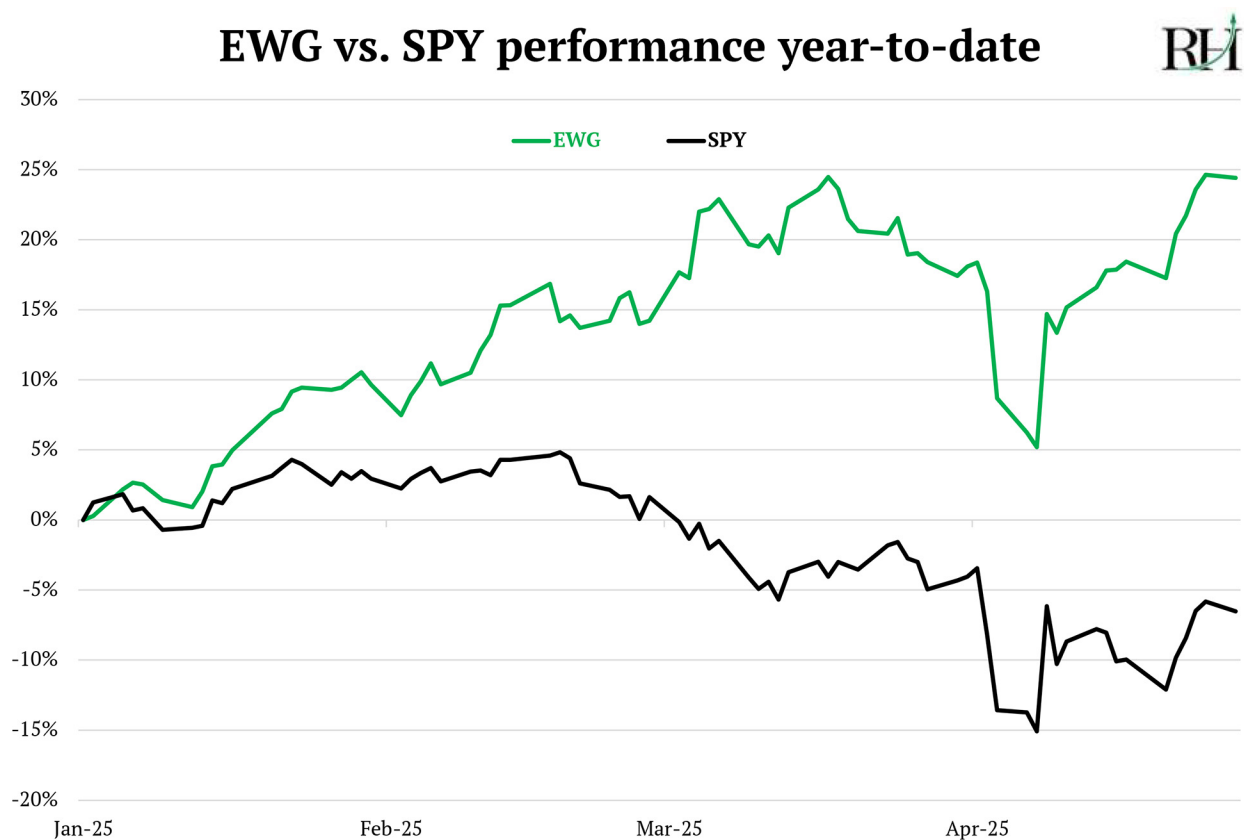
The demolition of a 75-year security arrangement was livestreamed around the world. It doesn't matter whether you think this stance is right (for what it's worth, I agree that America shouldn't bankroll European security).

What matters is the market's reaction.

Within days, Germany announced a €1 trillion stimulus plan, including €500 billion for defense. This is a bigger cash bazooka than the post-WWII Marshall Plan and German reunification in the early 1990s. This ended 15 years of austerity overnight.

Suddenly, European fund managers who were levered to the hilt on big tech woke up and thought, "Should we really have 70% of our clients' money in a country that no longer considers us an ally?"

The **iShares MSCI Germany ETF (EWG)** has jumped 24% so far this year, while the S&P 500 is down 6%:



© RiskHedge

Source: Investing.com

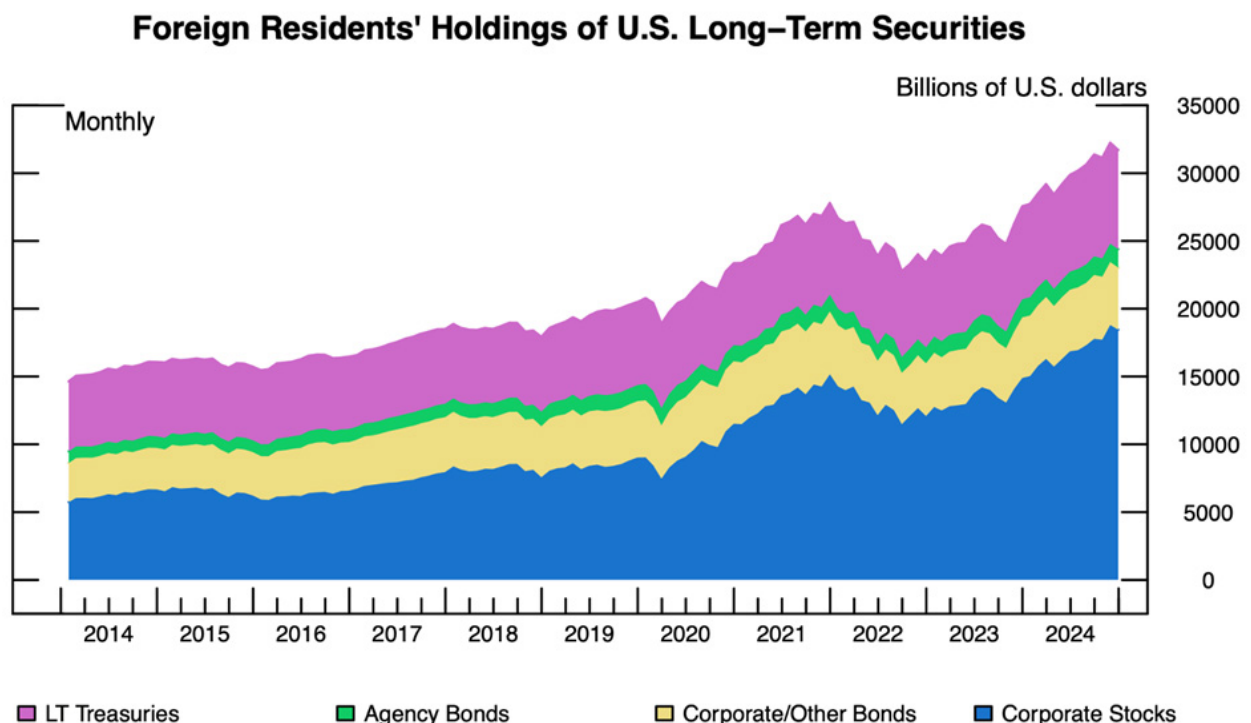
As an Irishman, I hate investing in Europe. America is better in almost every way. But it's not our job to sound smart; we're here to make money. When money flows in reverse, you either react or get steamrolled.

Long term, I don't believe Europe is a real competitor to US innovation. However, right now, it's presenting a good trade while US valuations likely continue to deflate (more on that below in "The winners..." section).

The great rotation

I mentioned that 15 years of outperformance have turned US stocks into a global money vortex.

"Foreigners" now own almost \$20 trillion worth of US stocks, up from less than \$10 trillion five years ago:

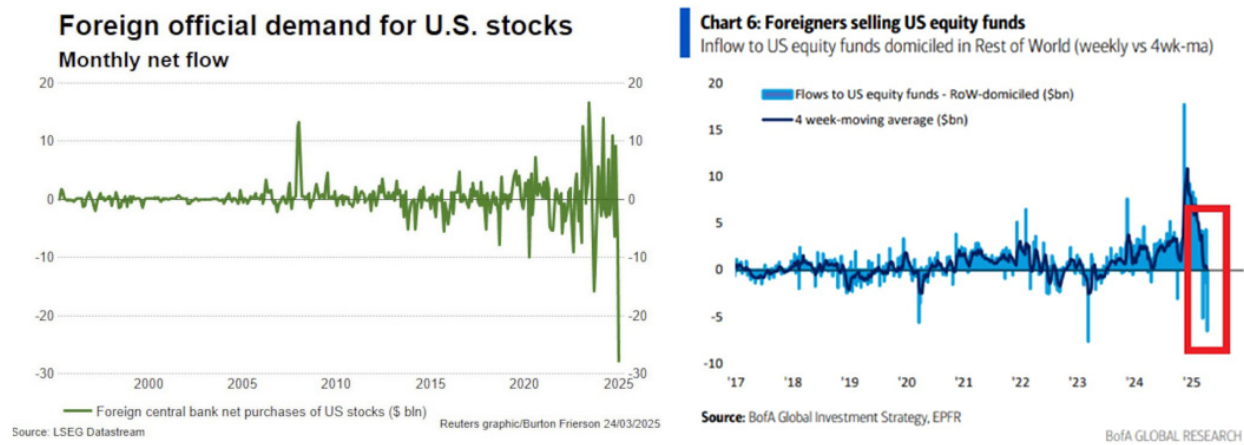


Source: @KathyJones on X

The amount of overseas money that has flowed into US assets is equal to the total value of the world's four most valuable companies: Apple, Microsoft, Alphabet, and **Nvidia (NVDA)**.

Data from hedge fund Bridgewater Associates shows that over the past five years, for every \$1 invested in equities globally, 70 cents went into US stocks.

Foreign investors overdosed on US stocks. Now, they're puking them out. These two charts show what my London hedge fund friend, who runs Three Body Capital, calls "the great rotation."



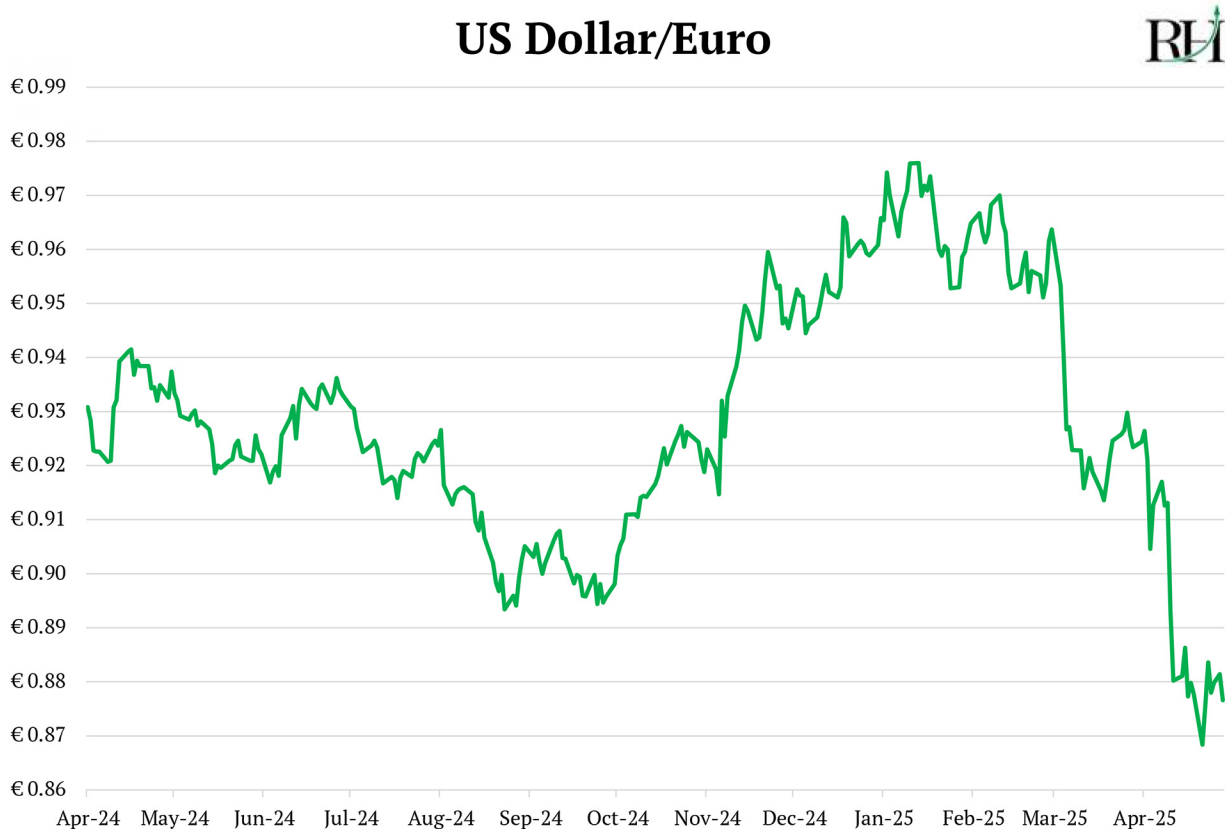
Sources: LSEG Datastream; BofA Global Research

We'll touch on where that money is flowing to in a moment. But first, I need to talk about the mighty US dollar. It plays a vital role in the great rotation story.

I remember converting currency in NYC over a decade ago and getting \$1.50 for every euro. Everything seemed so cheap! You likely know the dollar has been in a huge bull market since then. In late 2022, the dollar broke parity against the euro, meaning €1 bought you.... 97 cents.

This was a huge tailwind for overseas investors. A strong dollar benefits European investors as it boosts the value of their US holdings when converted back to euros. Just one more reason to load up on US stocks!

I hope all my American friends booked their summer vacations to Spain and Italy already, because the dollar bull market is toast. The USD has plunged 10% against the euro since January, which is a huge move in the currency world.



© RiskHedge

Source: Investing.com

This is directly related to foreigners offloading US stocks. Investors take the dollars they get from selling US assets and swap them back into their home currency to invest elsewhere.

This puts even more pressure on foreigners to sell. When the dollar weakens, overseas investors who own US stocks can lose money just from the currency exchange, even if stocks go up.

Picture a European fund manager long the Nasdaq (I know many!). The Nasdaq has dropped 12% so far this year. Meanwhile, the euro is up 10% against the dollar. That means Mr. French fund manager is down 22% in his own currency.

Meanwhile, European stocks—represented by the **Vanguard European Stock Index Fund ETF (VGK)**—are up 9% year-to-date. That means our pro investor is underperforming his benchmark by 30%. Grounds for dismissal.

What Mr. French fund manager is feeling right now can only be described as panic.

For the past decade, the risk was not owning enough US stocks. Anyone who didn't pile into the US got fired. Now, the risk has flipped to owning too much.

What I'm hearing from my network is that thousands of portfolio managers are all trying to rebalance at once, with hundreds of billions, even trillions, to reallocate.

Bank of America (BAC) data shows that for every \$100 investors pulled out of European stocks since the Ukraine war started three years ago, just \$4 flowed back in.

US investors' preferences also shift in a world where the dollar is weak and international stocks are outperforming.

Historically, US investors diversified some of their portfolios into international stocks. Almost nobody I know has done this over the past few years. *"Sell Apple to buy... SAP. You crazy?"*

Nothing changes sentiment like price. If international stocks continue to outperform the US, domestic investors will shift their preferences. This will be boosted to a weak dollar, which makes foreign stocks more attractive to Americans.

We're in the early innings of the great rotation, which is the most consequential investing shift since 2008. Below, I'll share how we'll stay ahead.

The losers...

You don't need to bet on knowing how it will all turn out. Our job isn't to predict exactly how the future will unfold. It's to see the present clearly and make the proper adjustments.

A giant financial market bomb just exploded. Let's assess the damage, starting with the companies at the center of the blast radius.

#1: Sell big tech

Trillions of dollars of foreign money poured into these stocks over the past decade.

Mr. French fund manager wasn't digging into a little-known small-cap US stock. He was loading up on Apple! Now that trend is reversing, which means significant sell pressure on big tech.

There are several other reasons to avoid these stocks...

Check out this table showing the world's largest companies by decade since 1980:

Top 10 companies by market cap				
1980	1990	2000	2010	2020
IBM	NTT	Microsoft	Exxon Mobil	Apple
AT&T	Bank of Tokyo	General Electric	Petrochina	Saudi Aramco
Exxon	Industrial Bank of Japan	Cisco	Apple	Microsoft
Standard Oil	Sumitomo Mitsui Banking	Walmart	BHP Billiton	Alphabet (Google)
Schlumberger	Toyota Motors	Intel	Microsoft	Amazon
Shell	Fuji Bank	NTT	ICBC	Tesla
Mobil	Dai Ichi Kangyo Bank	Exxon Mobil	Petrobras	Berkshire Hathaway
Atlantic Richfield	IBM	Lucent Technologies	China Construction Bank	Meta (Facebook)
General Electric	UFJ Bank	Deutsche Telekom	Shell	Alibaba
Eastman Kodak	Exxon	Pfizer	Nestle	Tencent

Source: companiesmarketcap.com

Notice that each decade has a dominant theme. The '80s were all about oil companies. Japan dominated the '90s. Tech rose in the 2000s. Oil companies made a comeback in the 2010s. Then, a new breed of tech stocks dominated up to 2020.

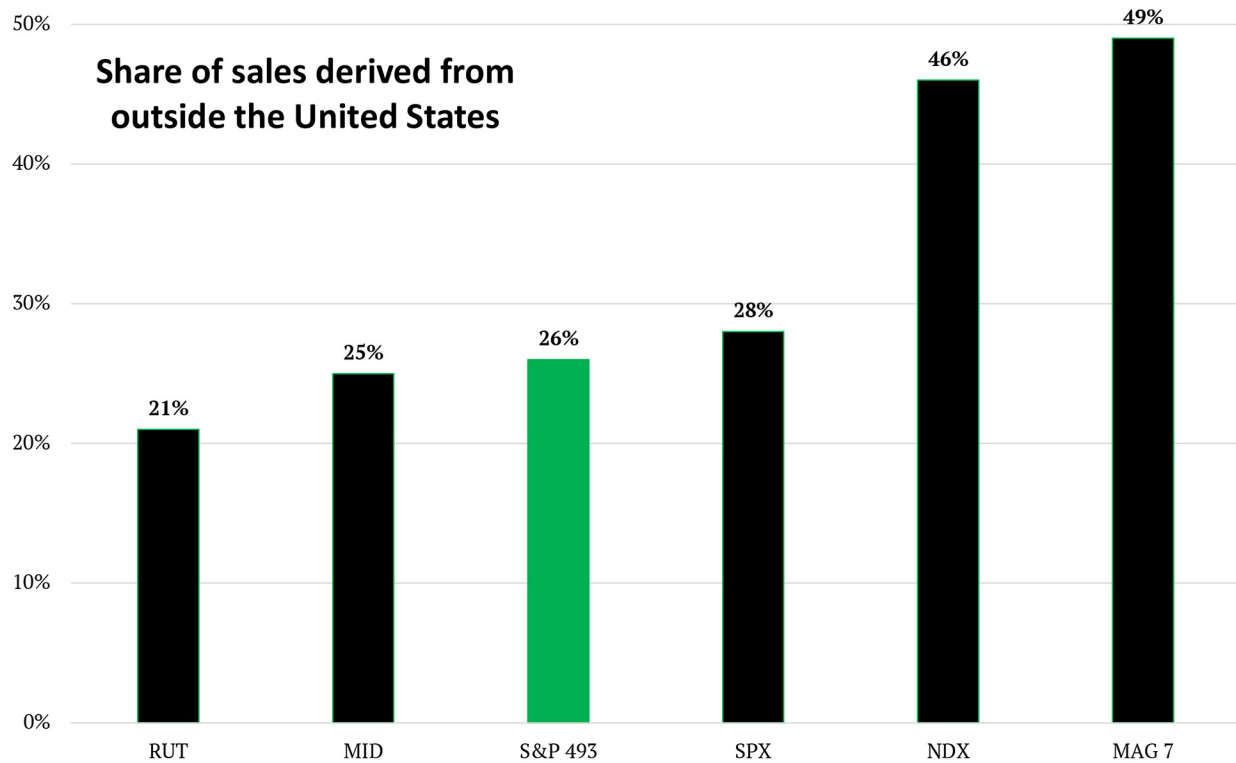
See how the list of dominators completely changes every decade? Most of the world's dominant companies falter and fall out of the top 10.

Tech giants still dominate the list today. But I'm betting on 40+ years of market history and predicting only one or two will still be in the top 10 come 2030. Tesla, which we own, would be my choice to make the leap.

Tariffs = bad for big tech

The average S&P 500 company gets a quarter of its revenues from overseas. For big tech, it's half. If we're heading into a world with more tariffs and import duties, that's a problem.

Trade policy risk favors the S&P 493



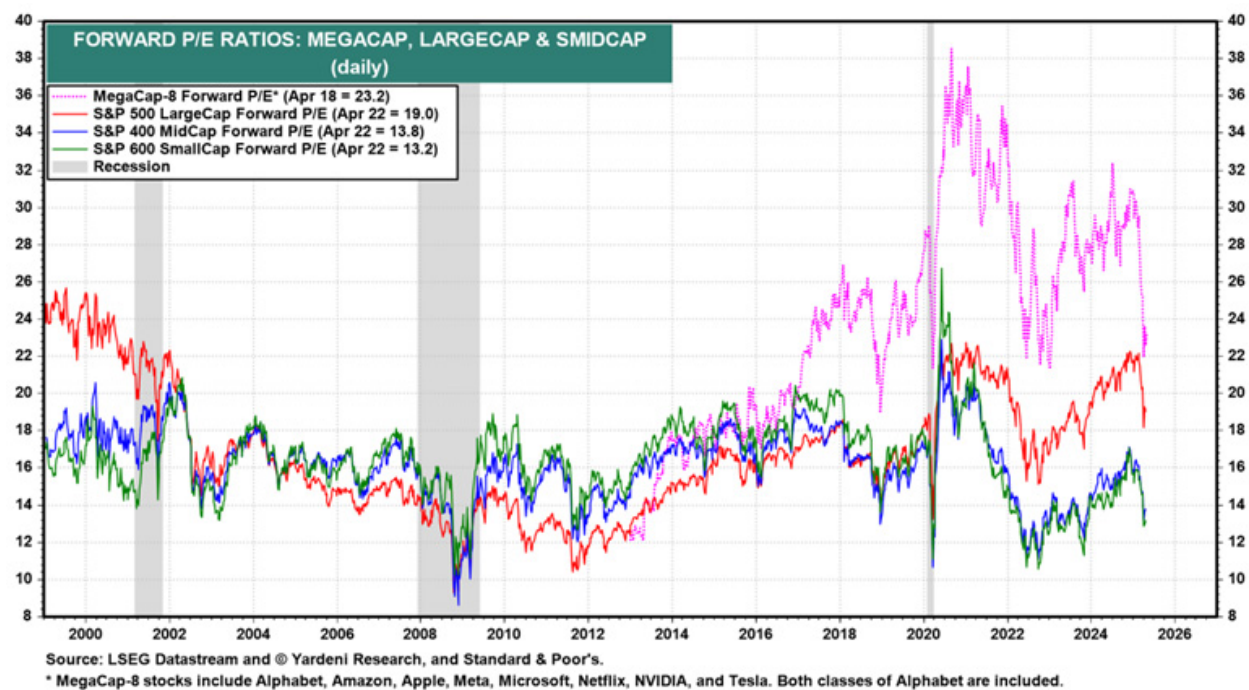
© RiskHedge

Source: Goldman Sachs

Valuation premiums go poof

Due to being in pole position in the innovation race, US stocks traded at record valuations. Specifically, big tech traded at a premium.

Look at this chart. Big tech (pink line) hit lofty levels while mid and small-caps traded within their historic range:



Source: Seeking Alpha

Even if big tech earnings hold up, valuation compression will mean those stocks get slammed. It's already happening. Amazon, Alphabet, Meta, and Microsoft are all underperforming the S&P 500 over the past year.

Many of these are still great companies. But a great company is not the same thing as a great stock.

Given that big tech stocks made up 30%+ of the S&P 500 as recently as January, their decline will likely drag the index down. But while the S&P may suffer, we can make money from great disruptors flying under the radar. More on this below...

#2: Trouble for certain AI stocks

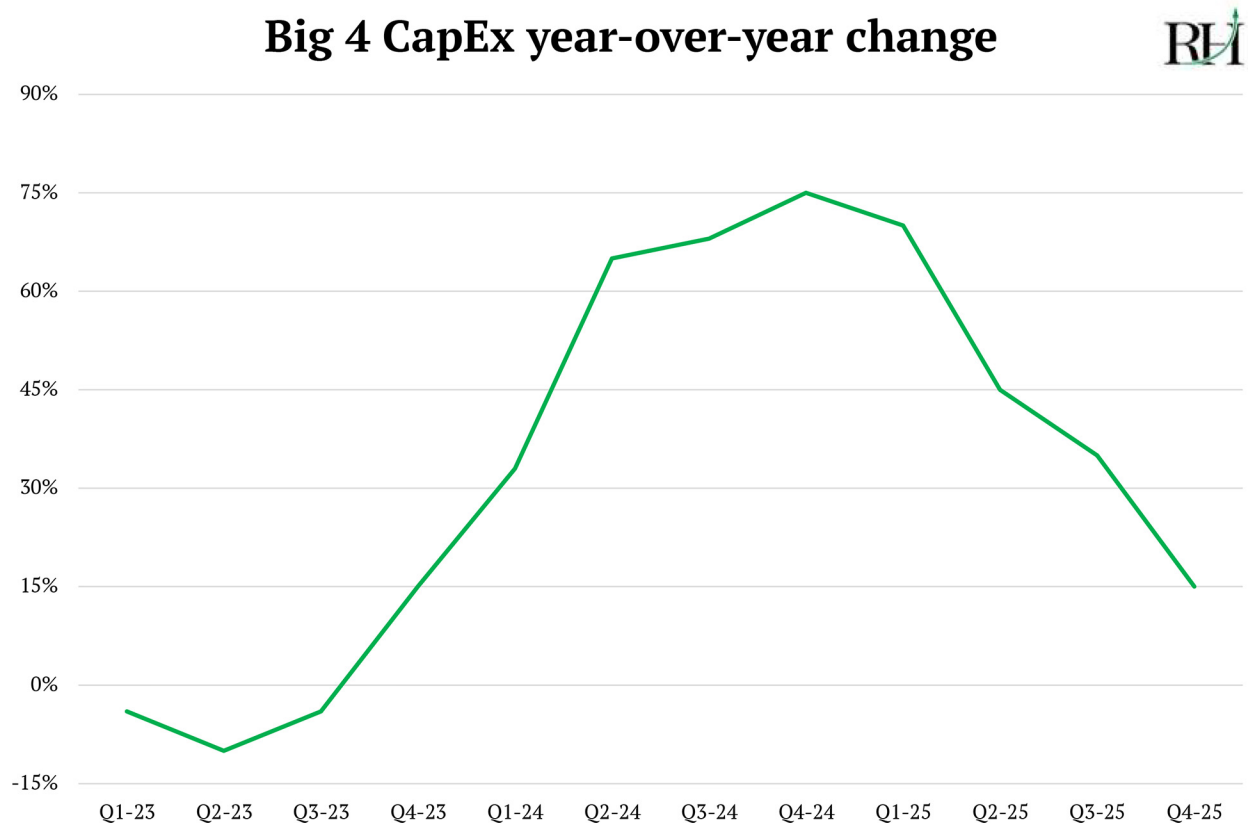
Big tech is in trouble. That means AI, especially infrastructure, is challenged because big tech is the one funding it.

We were early to the AI boom, and it paid off big time. While the media was still debating if ChatGPT was just a toy, we were already backing up the truck. Now, it's time to be nimble.

AI as a technology is real and transformative. It's the most important innovation of the next decade. Claude and Grok have become indispensable for my work. If you aren't using AI yet, do it!

But when it comes to making money in AI stocks, what matters isn't just growth. It's the *rate of change*. AI spending can rise to new records, but if the pace of that increase slows, valuations will fall.

You can see the rate of change is slowing:



© RiskHedge

Source: @modestproposal1 on X/Twitter

Our research also suggests those 2025 numbers are too high.

When big tech's share prices were zooming higher and ChatGPT fervor had gripped markets, companies were rewarded for AI spending announcements.

Now, that optimism has turned to skepticism. Big tech share prices are falling, and CEOs are far more likely to announce spending cuts. It's the tail that wags the dog.

Chris will cover how we're handling four of our five remaining AI stocks in the "Portfolio discussion" section below.

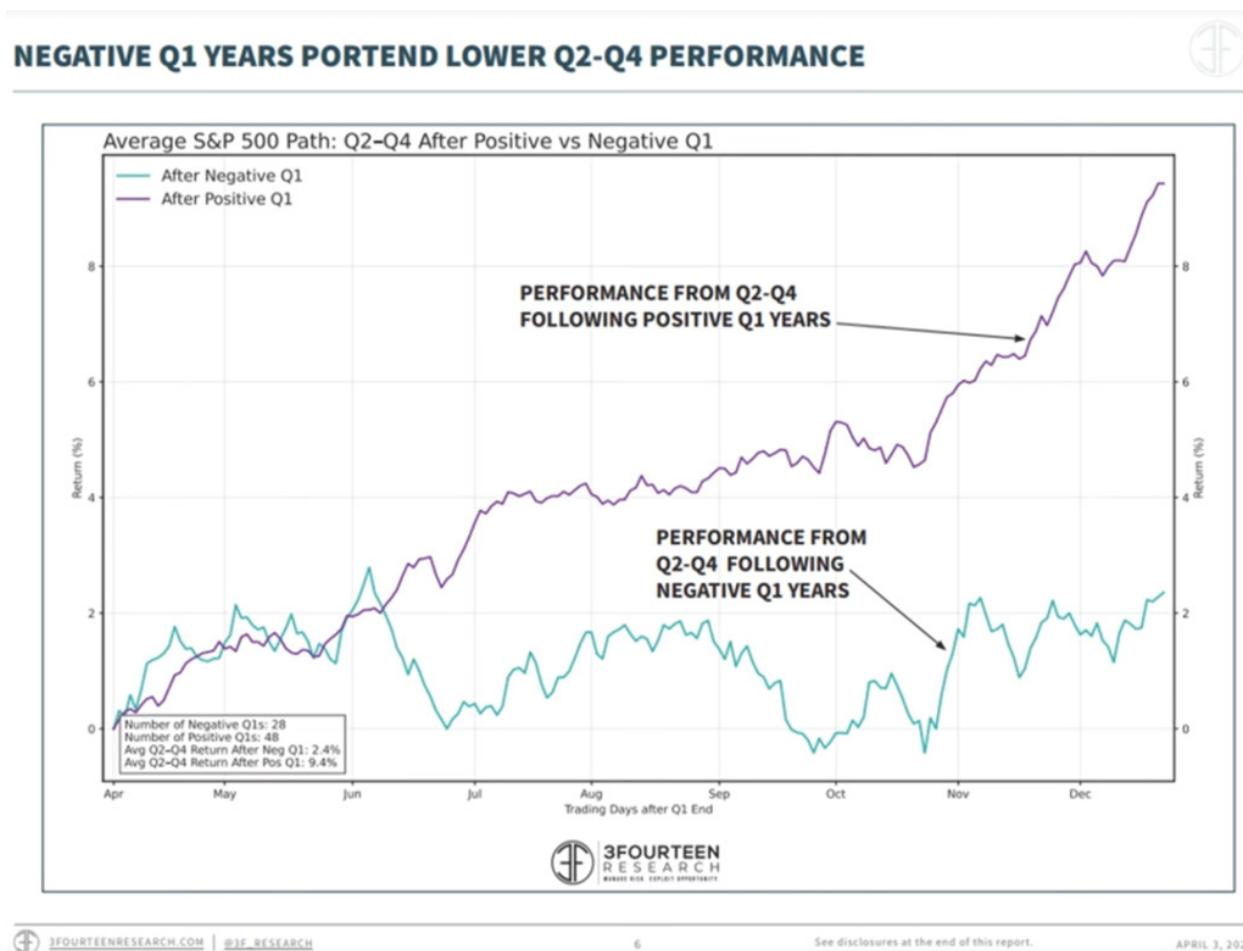
Update on our market “script”...

As goes Q1, so goes the year

Ever watch a sports game and “feel” the momentum is with one team or another? Momentum is this real, yet invisible, force in life and the markets.

Look at this great chart from 3Fourteen Research. It separates US stocks’ performance when the market goes up versus down in Q1.

You can see that the first three months typically set the tone for the rest of the year:



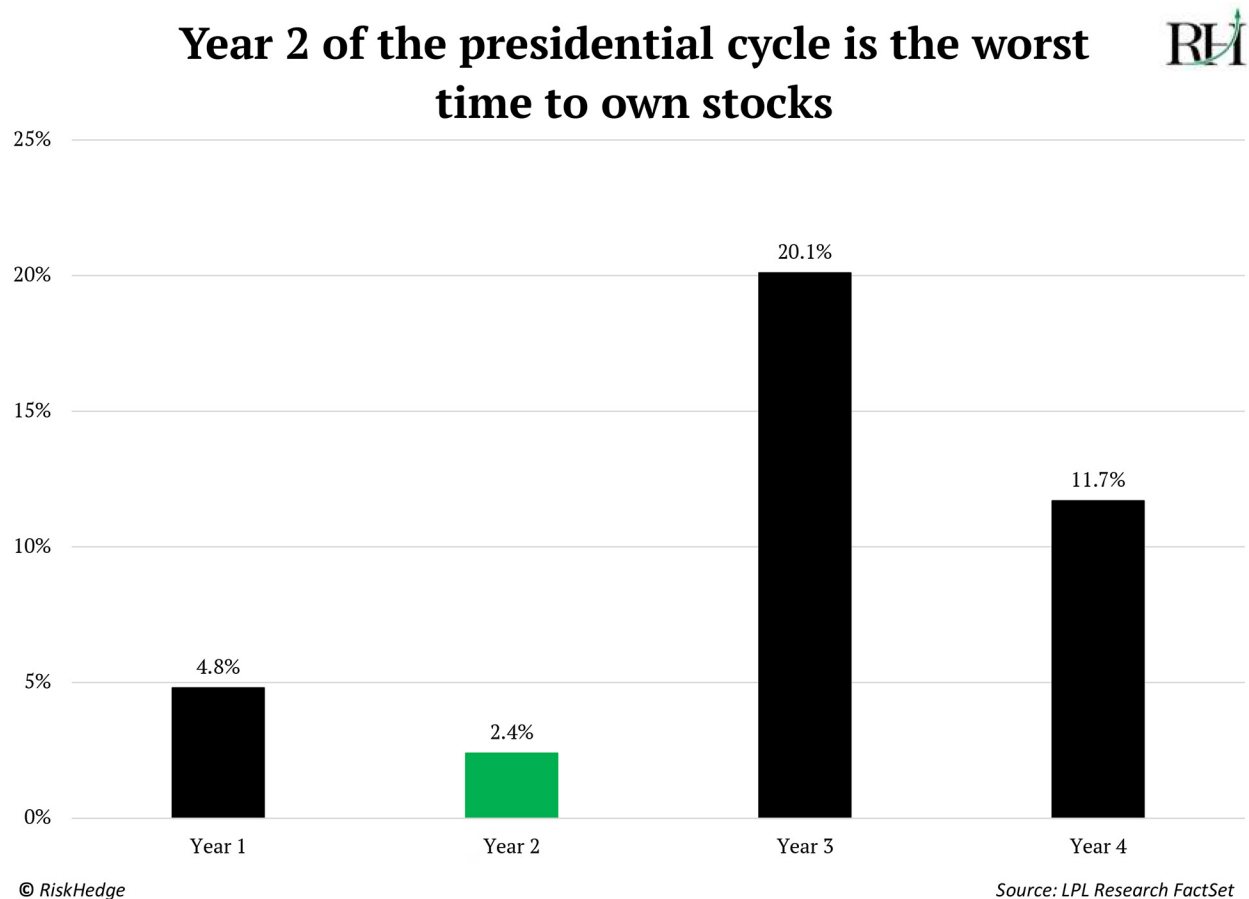
Source: 3Fourteen Research

The S&P 500 fell 5% in Q1, meaning odds are stocks will struggle through year-end.

And let’s not forget to thank the Wall Street strategists. This highly paid herd turning bullish was one of the reasons we got cautious back in December/January.

Midterm murder

Historically, midterm years see large stock market declines. Stocks have pulled back 20% or more during nearly half of all midterm years since 1950. It also has the lowest annual returns out of the four-year presidential cycle:



Tying this all in with the fact that big tech stocks are in major trouble (and make up most of the S&P 500), our research suggests the major US indices could struggle for the next 12–18 months.

To be clear, markets won't move down in a straight line. Expect vicious bounces that trick everyone into thinking "we're back." The market will move in ways that shake confidence and create the most frustration.

We'll continue to be extra selective and focus on the new winners starting to emerge... because there are plenty of great opportunities in this volatile market.

Remember: Bull markets don't die. They merely shift from one group of leaders to another.

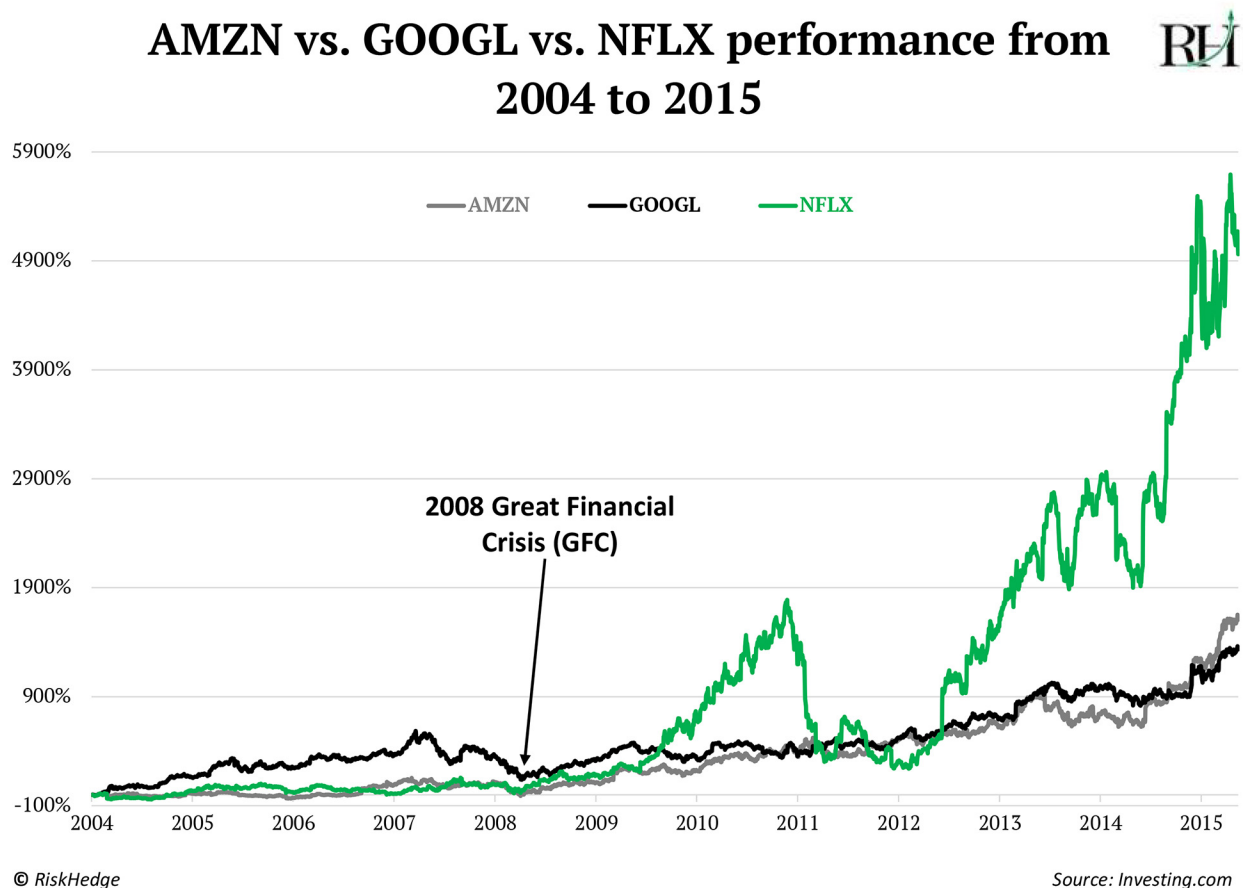
The winners...

The big opportunity is understanding where all this money moving out of US tech will go.

#1: Disruptive megatrends

Over three decades' worth of collective investing experience taught Chris and me that if you pick great businesses profiting from disruptive megatrends, the rest takes care of itself.

Great disruptors can and do sail through stormy seas. Look at the performance of Amazon, Alphabet, and **Netflix (NFLX)** after the 2008 financial crisis, for example:



The megatrends of online shopping, digital ads, and streaming overpowered the bear market.

Our research suggests the unstoppable megatrends this time around will be industries like cybersecurity, solar energy, defense tech, space, biotech, robotics, electric vehicles (EVs), and more.

To state the obvious, there will be more EVs on the roads five years from now, regardless of what the market does.

In volatile markets, it's important not to throw the baby out with the bathwater. This new market will hand us opportunities to buy great companies at great prices.

#2: US small and mid-caps

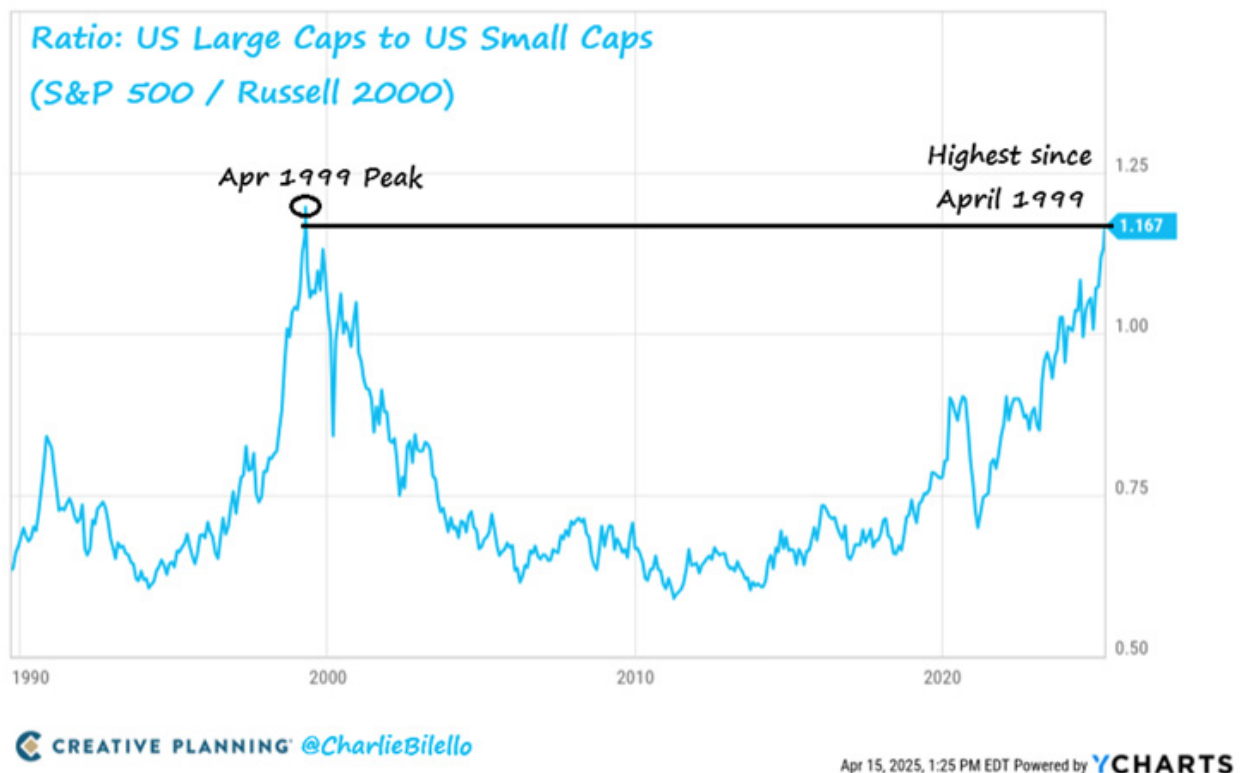
Not every corner of the market was infected with valuation fever.

Mid- and small-cap stocks (market caps between \$300 million and \$10 billion) are below their historic valuations.

The Russell 2000 small-cap Index hasn't made a new high since November 2021. *"Why waste time digging into some little-known company when I can just buy Apple?"* It worked beautifully, until it didn't.

After a three-year bear market, smaller US companies with strong fundamentals are ripe with opportunity.

Look at the ratio of "big" to "small" US stocks below. It's at its highest level since 1999. Another rubber band waiting to snap back.



Source: @CharlieBilello on X

#3: The best of the rest (of the world)

Foreign investors are pulling trillions of dollars out of big tech stocks. The money is coming home—a line only my British soccer fan friends will understand.

We track 50+ country ETFs. You can see the great rotation happening in real time. 40 countries are outperforming the US. Look at the performance of some of these markets year-to-date:

- Poland: +35%
- Spain: +26%
- Germany: +20%
- Brazil: +16%
- China: +13%
- France: +13%
- UK: +11%

The great rotation creates a “Hoover Dam through a garden hose” scenario. Remember, \$10 trillion of European money has gone into US stocks since 2019. The combined value of all European stocks is between \$17 trillion and \$18 trillion.

At one point last year, Nvidia was worth more than the whole stock markets of the UK, France, and Germany. Wild!

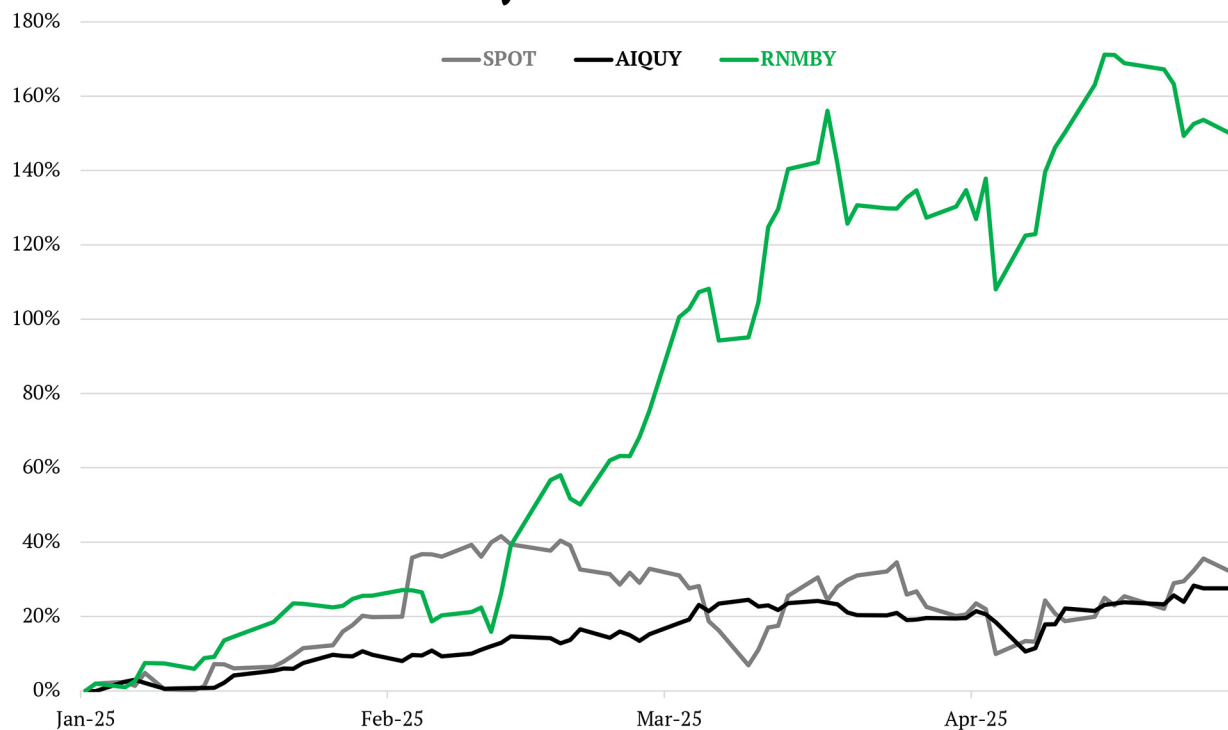
What happens when a big chunk of that money comes home? These stocks go berserk.

Europe: Cheap, hated, and in an uptrend

Europe is an overregulated museum. But look around, and you’ll find a handful of fast-growing companies.

Streaming giant **Spotify (SPOT)**... industrial gas supplier **Air Liquide (AIQUY)**... and rearmament company **Rheinmetall (RNMBY)** are all up double digits this year:

SPOT vs. AIQUY vs. RNMBY performance year-to-date



© RiskHedge

Source: Investing.com

If Europe keeps outperforming, the narrative will shift from “uninvestable” to “great value stocks.” To repeat myself, *nothing changes sentiment like price.*

Buy China, seriously

Let me tell you about two stocks.

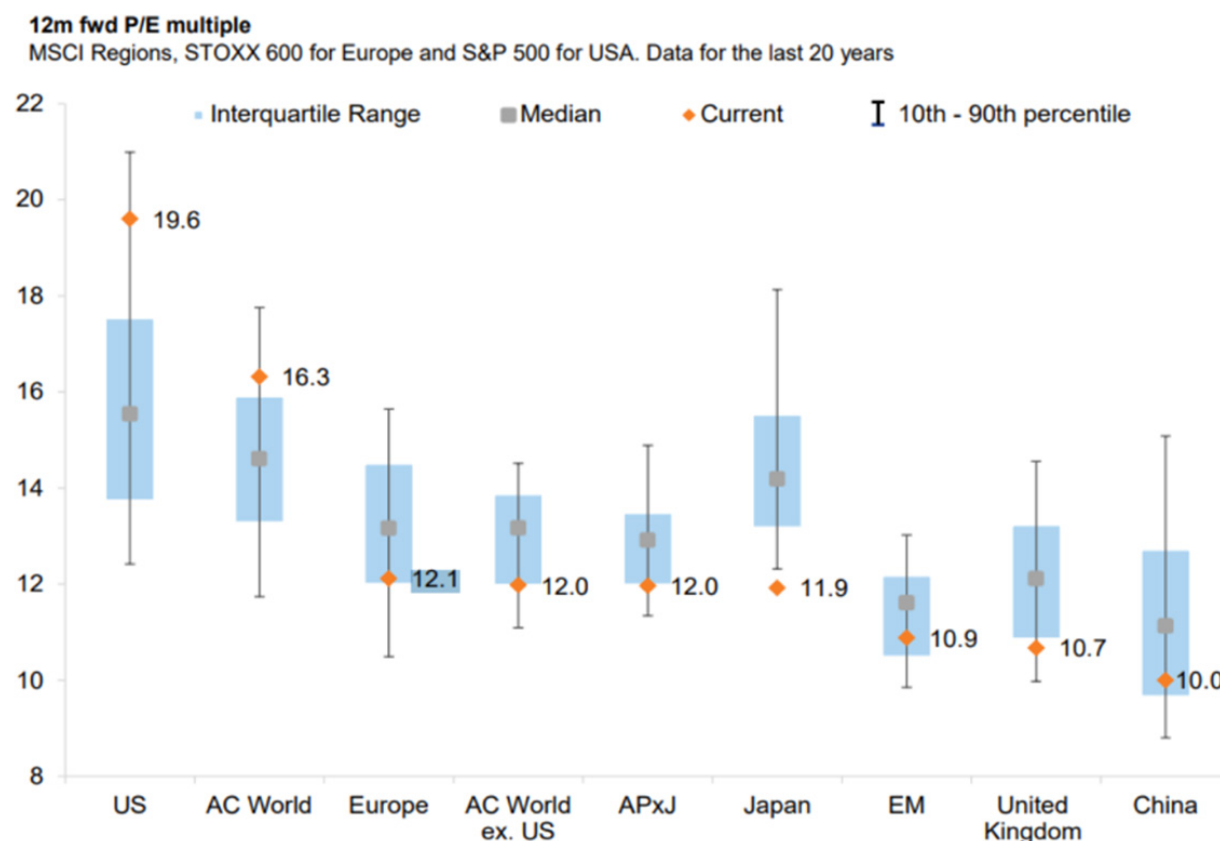
The first is a leader in one of the world’s fastest-growing disruptive megatrends. It’s growing revenues at 30% per year and trades at 20X earnings.

The second is a grocery store. It grows revenues at a steady 5% clip and trades at 36X earnings.

Which would you rather own? I’d pick the first stock all day long.

Stock #1 is Chinese EV giant BYD. Stock #2 is **Walmart (WMT)**. Innovation is on sale in China. I’m tripling down on my “buy China” call.

I'll leave you with a chart comparing the valuations in different regions. US stocks still trade at a premium, but it doesn't always work like that. If and when this valuation gap closes, go international.



Source: @kiwicapital on Threads

#4: Bitcoin

For as long as I can remember, **bitcoin (BTC)** has traded like a tech stock on steroids. Nasdaq up, BTC up huge. Nasdaq down, BTC down bad.

But BTC is outperforming the Nasdaq this year. Our research suggests the largest crypto asset is transforming from a levered bet on stocks into a safe haven akin to digital gold.

We touched on the big drop in the US dollar earlier. Without getting into the weeds, our research suggests the mighty dollar has entered a multi-year bear market.

To be clear, I'm not predicting the end of the dollar as the global reserve currency or anything like that. But the dollar is headed lower, and bitcoin is one of the major winners from that shift.

In a world of currency debasement, a small 1%–2% allocation into “digital gold” is wise.

The great rotation has arrived. Chris and I are determined to keep you ahead in this challenging market. We'll navigate it together, one step at a time.

Before I hand you off to Chris, a final note on the shift I'm seeing away from big tech...

AI won't save big tech

Longtime *Disruption Investor* members know we've always preferred to buy companies profiting from AI spending rather than own the big spenders themselves, aka big tech.

Big tech stocks did surge as the AI narrative gripped markets. Investors thought they had a monopoly on this all-important innovation.

Spend hundreds of billions of dollars building AI data centers, monopolize AI, and become multitrillion-dollar companies. That was the game plan.

Then DeepSeek happened. How do you monopolize a technology that's now open source and out in the wild for everyone to use?

When it comes to AI, there are no moats that allow you to pull up the drawbridge. Just look at the rapid pace of innovation. One AI model company releases a groundbreaking, never-before-seen feature. Then, a week later, everyone has it. That's a problem.

Big tech is spending hundreds of billions of dollars on AI CapEx (the largest infrastructure buildout in history) with no payoff in sight.

It's funny that one of the major reasons to own big tech stocks like Alphabet, Meta, and Microsoft was their "capital-light" business models. Whether Alphabet served up 10 digital ads or 10,000,000 didn't really matter. It could grow profits without spending much money.

That era is over. What business is more "capital-intensive": developing AI or building steel mills?

The answer is AI. Alphabet now spends more on CapEx relative to earnings than US steel. Hmmm.

Alasdair Nairn's excellent book, "Engines That Move Markets," offers a history lesson on why AI won't save big tech. This truly is an exceptional book you should read many times.

The lesson: From canals to railroads, telegraphs to the telephone, candles to electricity, whales to oil, carriages to cars, radios to television, and computers to the internet, the incumbents have *never* managed to profit from one technological wave to another.

Big tech is doing all the spending. It's building the railway tracks of our new digital age.

Railways ushered in the Second Industrial Revolution and changed the world. But they were an awful investment. These companies have to spend record amounts of money building tracks, and the productivity gains did not accrue to the shippers.

They went to the *users* of the network. New upstarts that benefited from the faster and cheaper transportation.

The modern equivalent is big tech building the railway tracks upon which somebody else's trains will run.

Lesson: Own the companies building shiny new trains to take advantage of the AI age, not those building the railways.

Portfolio discussion

Considering the tough environment we see for big tech—and AI infrastructure plays, in particular—I (Chris Wood) want to give you an update on four of our five remaining AI stocks: Nvidia, **Taiwan Semiconductor Manufacturing (TSM)**, **Arista Networks (ANET)**, and **Fabrinet (FN)**.

To sum things up: We recommend taking profits on ANET and FN today. And we recommend holding TSM and NVDA.

I sent you an update on our fifth remaining AI stock, Tesla, [on April 10](#). Everything from that update still applies.

Tesla stands out because it's very close to essentially creating two multitrillion-dollar markets with its robotaxis and Optimus robots. And very little of that potential is reflected in the stock price.

Yes, the brand's reputation has taken a hit recently.. But this doesn't matter in the long run because Tesla's technological advantages will overshadow any temporary reputational issues.

In other words, Tesla's future is bright. The stock won't go up in a straight line from here. But a few years from now, I think you'll be extremely happy you own it.

Now, let's talk about our other AI plays...

Hold Taiwan Semiconductor (TSM)

As you know, Taiwan Semi—or TSMC for short—is the “factory” the world relies on to turn chip designs into actual physical chips.

It manufactures the vast majority of Nvidia’s GPUs and the custom ASICs (AI chips) big tech companies like Alphabet, Microsoft, Amazon, and Meta are developing for AI inference.

We’re in a great spot with TSMC because we took a “Free Ride” on it back in [October 2024](#). So, we’re not going to lose money on it.

Meanwhile, there’s simply no alternative to TSMC when it comes to manufacturing bleeding-edge AI chips. That’s why it makes more than 90% of the world’s most advanced chips.

While several companies provide AI models and cloud computing services, TSMC is the only real option to make the chips that power those models and services.

Samsung is the only other company in the world capable of making these chips today. But TSMC is about a year and a half ahead in terms of high-volume manufacturing, 15%–25% ahead in terms of yield, and 5X–6X ahead in terms of capacity.

In other words:

- TSMC has been making lots of these chips for a lot longer than Samsung, so it has a lot more know-how.
- When TSMC makes these chips, it gets a much higher percentage of good chips that work like they’re supposed to. This keeps costs down for customers... and keeps them coming back to TSMC.
- And TSMC can make about 6X as many advanced chips per month.

Even if we’re right about big tech decelerating or straight up cutting AI CapEx in the near term, the world still needs lots of these chips... more than fabs can make. And TSMC is the only company capable of coming close to fulfilling that demand.

What’s more, TSMC recently announced an additional \$100 billion investment in the US. That announcement brought the company’s planned investment in the US to \$165 billion.

That’s an enormous amount of money to strengthen US chip production and support the country’s ambitions to become a leader in AI infrastructure. And it helps insulate TSMC from tariff concerns.

For all these reasons, it makes sense to continue holding TSMC.

Action to take: Continue to hold Taiwan Semiconductor (TSM).

Hold Nvidia (NVDA)

As you know, Nvidia dominates the AI chip market. Its GPUs—which it designs and TSMC manufactures—power anywhere from 80%–95% of all AI workloads, according to Reuters.

We're in a great spot with Nvidia because we've taken profits on it twice. Not only did we take a "Free Ride" back in [November 2021](#), but we also sold half our remaining shares in [February 2024](#).

So, we only have about 28% of our original position left. And we've locked in most of the 400% gain we're sitting on.

Nvidia GPUs make up a big chunk of big tech AI CapEx. But even if we see a near-term pullback in this spend, I still expect demand for Nvidia GPUs to continue to outstrip supply.

That's because when money gets tight, hyperscalers will first delay the CapEx items that are less vital than GPUs when it comes to putting new AI features in customers' hands and staying competitive in the AI arms race.

So, while I expect to see these companies stretching and squeezing as much as possible out of surrounding infrastructure—as well as canceling new orders for it and outsourcing more to various degrees—GPU spend will likely be the last thing to get cut.

Another reason I expect big tech's appetite for Nvidia GPUs to remain robust is that the return on investment (ROI) for these chips is much faster and more visible than other AI infrastructure.

CFOs know they'll get an immediate, easily quantifiable ROI from building an AI cluster with Nvidia GPUs or upgrading a cluster to a newer GPU architecture—like going from Hopper to Blackwell. Compare that to the much less visible and much longer time required for a return on buying land and building the concrete shells that will someday hold servers.

Meanwhile, as more companies and even sovereign states invest in their own AI clusters, Nvidia's customer base is broadening. This diversification mitigates the risk of over-reliance on a few major hyperscaler customers.

Finally, Nvidia also recently announced a big investment in the US. The company committed to building up to \$500 billion worth of AI infrastructure in the US over the next four years.

Action to take: Continue to hold Nvidia (NVDA).

Sell Arista Networks (ANET)

Arista makes high-speed networking hardware and software infrastructure that enables AI by quickly and efficiently moving massive amounts of data among servers, storage devices, and other networked equipment in data centers.

While Arista is still a great company, I think it makes sense to sell the stock now and lock in our big gain—and potentially buy back in at a cheaper price down the road—for several reasons:

- About half of Arista's revenue comes from the big tech hyperscalers, and the company is one of the providers of that "surrounding infrastructure" I mentioned earlier that's higher on the list of items to cut (to the extent it can be) than Nvidia's GPUs.
- Even with the recent pullback, the stock's still not cheap.
- Tariff uncertainty could indirectly affect hyperscalers' budgets by raising hardware costs and directly squeezing Arista's gross margins because it sources components globally.

Given these challenges, it makes sense to lock in our gains now. As I write, we're up more than 85% on Arista, including the "Free Ride" we took in [November 2024](#).

Remember, we were early on AI and the companies laying the foundation of this megatrend. But as Stephen said earlier, market opportunities are shifting... and to stay ahead of the curve, we need to stay nimble.

By freeing up capital today, we're positioning ourselves to take advantage of the next wave of disruptors we've got our eye on.

Action to take: Sell all remaining shares of Arista Networks (ANET) at current market prices.

Sell Fabrinet (FN)

Fabrinet is the only company in the world that manufactures the Nvidia-designed high-speed networking cables and optical transceivers that data centers need for AI.

This relationship with Nvidia has been lucrative for Fabrinet. But as I've noted before, there's an emerging trend of unbundling Nvidia's GPU platforms, which makes Fabrinet's continued strong growth less certain.

Rather than buying fully integrated GPU systems that include additional components, such as Fabrinet-manufactured optical transceivers and interconnects, some big tech companies like Amazon are opting to purchase only the GPUs so they can develop their own customized systems to cut costs.

Following a re-evaluation of Fabrinet, this emerging trend—coupled with tariff uncertainty—is enough for us to switch the stock from a “Buy” to a “Sell.” As of this writing, we’re up about 5% on the position.

Action to take: Sell all shares of Fabrinet (FN) at current market prices.

For portfolio tracking purposes, we’ll use tomorrow’s (May 2) closing price as our sale price for FN and ANET.

Several of our holdings will report earnings before the next *Disruption Investor* publishes on June 5. Here’s a rundown on the upcoming earnings releases:

- **Rockwell Automation (ROK):** May 7
- **Palo Alto Networks (PANW):** May 19
- **Zscaler (ZS):** May 23
- **Nvidia (NVDA):** May 28
- **CrowdStrike Holdings (CRWD):** May 30

Please note that the dates listed above are subject to change.

For the most up-to-date guidance on our current positions, [click here](#) to view the portfolio online.

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